Unit 8

# PRODUCTION OF GOODS AND SERVICES

## Unit Student Learning Outcomes (SLOs)

- Define with examples the terms producer, goods, services, public goods and services, private goods and services, firm, industry, interdependence.
- Describe the individuals and groups who participate in the production of goods and services.
- Give examples of different goods and services.
- Differentiate between a firm and industry.
- Explain the concept of interdependence in economics using a simple circular flow diagram.
- Identify the various commercial and non commercial goals of producers.
- List five private sector businesses and five voluntary organizations in the area in which you live.
- Categorize goods and services available locally as public and private goods and services.
- Describe what are collective goods and what are merit goods.
- Explain why the government provides certain goods and services.
- Explain how the government pays for public goods and services it provides.
- Explain what is a state owned enterprise.
- Make an inquiry to find out the name of five state owned enterprises in Pakistan.
- Differentiate between consumer goods and capital goods.

## Introduction to the Unit

This unit is divided into three chapters which are focused on the production of goods and services. An understanding of these concepts will help you recognize that just like consumers, all producers also make decisions about what to produce, why to produce and how much to produce. This would be helpful in understanding the various types of producers and their different goals regarding production as well as the interdependence of the household (consumption) and producer (production) sectors of the economy.

# CHAPTER1: WHAT GOODS AND SERVICES ARE PRODUCED

**SLOs**

- Define the terms producer, goods and services.
- Explain the types of goods and services.
- Give examples of different goods and services.
- Categorize goods and services available locally as public and private goods and services.
- Describe what are collective goods and what are merit goods.
- Differentiate between consumer goods and capital goods.

## Introduction

In this chapter, you will study about the economic concepts including producers and consumers and private and public goods and services.

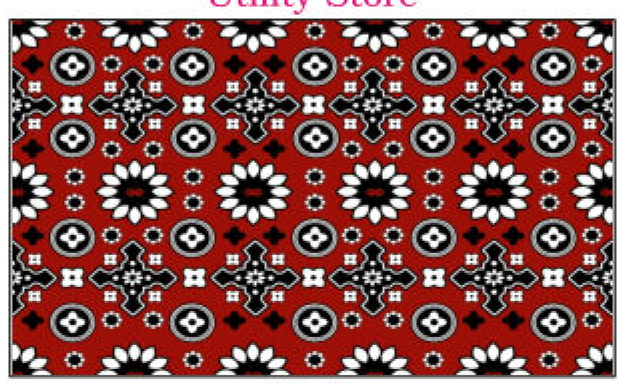
## Goods and Services

'Goods' are the things or objects we buy to satisfy our needs and wants. They are things which we can **see**, **feel** and **touch,** like food, furniture, and electronic items. They are also called 'commodities' or 'products'.

Electronic Products

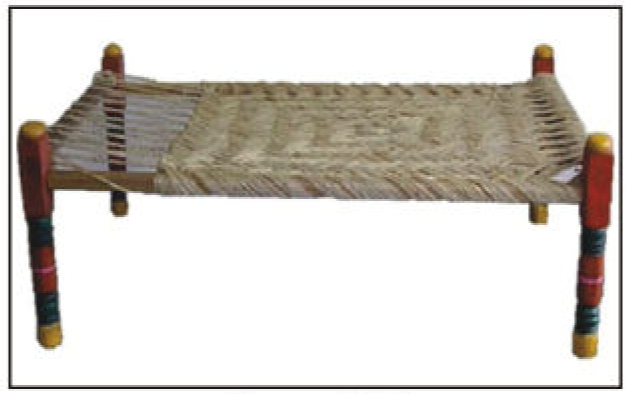
Utility Store

Tea set



Ajrak

( Rilli) Bed sheet



Charpai (Cot)

Goods are material things that we buy to satisfy our needs and wants. A 'Service' is something (some work or some action) **done** for us that we pay for. For example, a hairdresser provides hairdressing services, a teacher provides educational services, a doctor provides medical services and an architect provides building designing services. Provision of gas, electricity and water are also examples of utility service. Online banking, payment services, shopping and home delivery services are also becoming increasing popular in cities.

Different people providing different services to meet the needs and wants.

**Activity:**

- List ten goods that you bought over the last week.
- List five services you bought over the last month.

## Producers and Consumers

Goods and services do not appear magically on store shelves. They must be produced. They are produced using scarce productive resources which can be categorized as natural, human, and capital resources.

**Producers** are people who produce goods or provide services. In the production process, producers combine natural, human, and capital resources. Because these productive resources are limited, producers must **choose** kind of goods or services to produce. Most adults work as producers. In exchange for their work, people earn **income** (which is spent on goods and services or is saved).

**Consumers** are people who buy goods and services. Consumers face many choices of what to buy because they cannot buy everything they would like to with their limited incomes. People's choices about what goods and services to buy and consume determine what producers produce and, thus, how productive resources will be used.

## Different types of Goods and Services

There are many types of goods and services. Each type is explained below:

**Consumer Goods** are the "final" goods or products purchased and used by consumers such as pencils, books, and toys.

**Capital Goods** are goods which are used to produce other goods and services; Land, Buildings and Machinery are examples of capital goods. For example, when a person buys a truck for personal use, the truck is a **consumer** good. When a producer buys a truck to transport products from the farm to the factory, the truck is considered a **capital** good.

## Private and Public Goods and Services

Goods and services produced privately and sold to consumers are called **Private goods.** Goods and services which are provided by the government are called **Public goods**. The government provides these goods and services as they are so important that they should be made available to everyone. Some public goods and services are called collective goods, because they are consumed collectively, that is, by everyone such as roads, parks, schools, libraries, bridges, hospitals and communication networks, street lighting, national defence and police.

Allama Daud Pota Library, Hyderabad

Government Naz High School, Khairpur

Bridge connecting, Sukkur and Rohri

Lyari Expressway, Karachi

**Activity:**

- Identify the producers of five different types of goods and five different types of services.
- List down ten goods and five services available in your area. Categorize them as public or private.

## SUMMARY

In this chapter, you studied that goods are tangible satisfying our needs and wants. While, services are rendered for which money is taken or given. Producers are the people, firms, organizations or companies that process resources and produce goods and services. On the other hand, consumers are those who buy those products and services. Goods and services are of different types ranging from consumer and capital to private and public.

# END OF CHAPTER EXERCISE

## A. Check Your Knowledge and Understanding

### 1. Fill in the Blanks

i. The two characteristics that help us to decide whether a good or service is public or private are_______________and _____________.

ii. The goods and services which are provided free by the government to benefit the society are known as _________ goods.

iii. Goods which are used to produce other goods and services are known as _________________ goods.

### 2. Complete the Following Table

1. A list of terms is given in column A. For each term, write its definition and one example in columns B and C.

| Sr. No | Column A (Term) | Column B (Definition) | Column C (One Example) |
|---|---|---|---|
| (i) | Goods | | |
| (ii) | Services | | |
| (iii) | Private goods and service | | |
| (iv) | Public goods and services | | |
| (v) | Merit goods | | |
| (vi) | Producer | | |
| (vii) | Consumer goods | | |

### 3. Answer the Following Questions

i. Differentiate between Capital goods and Consumer goods.

ii. What is the external benefit of immunization/ vaccination, which is a merit good, to other individuals?

iii. How are Public goods funded by the government?

iv. What does it mean when we say that a private good is 'excludable'? Explain with an example.

## B. Find Out More

1. Take a walk through your neighborhood and identify all the public goods and services provided. Talk to your parents and other adults to find out all the merit goods provided by the government.

## C. Cooperate With Others

1. Draw pictures representing a capital good used to produce a consumer good or service in the school or community. Use the pictures to make a bulletin board.

## CHAPTER 2: THE PRODUCERS OF GOODS AND SERVICES

**SLOs**

- Define with examples the terms 'firm' and 'industry'.
- Describe the individuals and groups who participate in the production of goods and services.
- Differentiate between a firm and industry.
- List five private sector organizations and five voluntary organizations in the area in which you live.
- Explain what is a state owned enterprise.
- Make an inquiry to find out the name of five state owned enterprises in Pakistan.

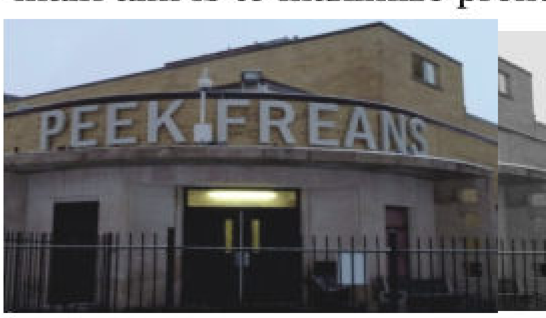
### Introduction

This chapter is focused on the terms 'firm' and 'industry' and types of producers such as Private Sector Producers and Public Sector Producers.

### Firms and Industries

A **firm** is a single business or producer, for example, *Bata Shoes*. It is defined as any organization of people that use the factors of production: labour, capital, and raw materials in order to produce goods and services that are sold to consumers, governments, or other firms.

A firm might be a factory, or a chain of stores that sells food, clothes or shoes. For example, *Peek Frean Biscuits* or *Bundu Khan*. The firm's main aim is to maximize profit.






An **Industry** is the collective name for a number of firms producing similar goods or providing similar services like the textile industry, energy industry, communications industry, tourism industry. For example, the energy industry includes firms involved in the exploration of oil and natural gas. A firm is just a part of that industry. It is a **single** business.

### Types of Producers

There are many different types of producers in an economy. We usually classify them as either private or public producers.

### Private Sector Producers

These businesses are owned by individuals or groups who come from the household sector. The main goal of private sector producers is to make a profit. The profit is the difference between the income earned by the firm and the expenses it has to pay.

**Activity**:

- List five private sector businesses in your area.

### Voluntary or Non- Profit Organizations

Other private sector businesses are driven by the fact that they can see a **need** in the community and want to satisfy that need. These businesses are called voluntary organizations. Voluntary organizations are sometimes called Non - Profit organizations/ Non - Government Organizations (NGOs) as their aim is to satisfy a need without making a profit. For example, Edhi Foundation.

**Activity:**

- List five Non-Profit/Voluntary organizations working in your area.

### Public Sector Producers

Public sector businesses are owned by the government to provide goods or services that private businesses would not generally produce because they would not make a profit. Street lighting, for example, is a very necessary commodity. But, how could a private sector firm charge for the use of it? It would be very difficult. The government therefore provides street lighting and pays for it out of taxes.

## SUMMARY

A firm is a single business or producer. An industry is a group of businesses or producers that produce a similar good or service. Some firms are owned by the government and are run like private sector businesses for the purpose of profit. These businesses are called State-Owned Enterprises. The main goal of private sector producers is to make a profit. Voluntary organizations are sometimes called non- profit organizations/non-government organizations as their aim is to satisfy a need without making a profit. Public sector businesses are owned by the government and provide goods or services that private businesses would not because they would not make a profit.

## END OF CHAPTER EXERCISE

### A. Check Your Knowledge and Understanding

#### 1. Fill in the Blanks

i. A single business is known as a _____________.

ii. A group of businesses or producers that produce a similar good or service is known as an _______________.

iii. The businesses that are owned by the government and run like private sector businesses, with a view to make a profit are known as _______________.

iv. Voluntary organizations are sometimes known as ____________.

#### 2. Complete the Following Table

1. A list of types of producers is given in column A. For each, write its aim and one example in columns B and C.

| Sr. No | Column A (Type of Producer) | Column B (Aim) | Column C (One Example) |
|---|---|---|---|
| (i) | Private sector producers | | |
| (ii) | Public sector producers | | |
| (iii) | Voluntary or Non- Profit Organizations | | |

### 3. Answer the Following Questions

i. Define (with two examples each):

(a) A Firm

(b) An Industry.

ii. Differentiate between a firm and an industry.

iii. Explain what a state owned enterprise is?

## B. Find Out More

1. You are detectives looking for goods and services. Search your neighborhood, read newspapers, and listen to television and radio news reports. Draw a table like the one given below and list five goods or services provided by private businesses and five goods and services provided by the government in your neighborhood. For each good or service, write **where you found it.**

| Goods and Services Sold by Private Businesses | Goods and Services Provided by Government | Where did you find it? |
|---|---|---|
| | | |
| | | |
| | | |
| | | |

## C. Cooperate With Others

1. In your school, establish a voluntary organization to address the particular need.

# CHAPTER 3: PRODUCTIVITY AND GOALS OF PRODUCERS
## (HOW AND WHY GOODS AND SERVICES ARE PRODUCED)

**SLOs**

- Define with examples the term 'interdependence' in economics by using a simple circular flow diagram.
- Explain the factors of production.
- Identify the various commercial and non commercial goals of producers.
- Explain why the government is supposed to provide certain goods and services.
- Explain how the government pays for public goods and services it provides.

### Introduction

This chapter is focused on the term 'interdependence', factors of production, production of goods and services and goals of producers.

### The Factors of Production

Goods and services are produced by using productive resources which are called factors of production.

- Land
- Labour
- Capital
- Entrepreneur

### Land


Land

Land is one of the precious 'gifts of nature'. It provides mineral resources which are used to produce goods and services. The term 'land' in economics includes land with metal ores, oil, gas, coal, water, air, rain, wind and sunshine. Land is used various in economic and social activities to cater the needs of human beings.

### Labour


Labour

Human effort to produce goods and services is called labour. Labour includes the use of physical and mental capabilities of the workers in various sectors of the economy.

### Capital


Capital

Financial resources, tools, machines, furniture and buildings used for the purpose of doing business are called capital.

### Entrepreneur

The person who organizes labour, land and capital is called an entrepreneur. Entrepreneurs come up with innovative ideas about what and how to produce. They make business decisions and manage risks involved in new businesses.

Entrepreneur

### Production of Goods and Services

How do firms decide which and how much of each factor of production is used to produce different goods and services?

The major aim of a producer is to maximize profit. In maximizing profits, firms face two difficulties: the demand for goods and the cost of products. Take for example a firm that produces a single good, say soap. In order to produce soaps, the firm makes every possible effort to reduce the cost of production so that it not only satisfy the needs of consumers but also earn lot of profit.

Soap

Consumption of goods and services depend on the level of incomes that people earn. High income enables people to buy huge number of goods and services. Nevertheless, low income people can only buy few goods and services. Income is earned by following means:

1. Land rent. For example, a shopkeeper pays rent for the shop that he uses for business.
2. Wages of labour. For example, a worker gets paid for his work.
3. Capital earns interest. For example, a bank lends money to a person starting a business and charges interest on that loan.
4. Entrepreneur earns profit. For example, when the goods produced are sold for more than the cost of producing it, entrepreneur makes a profit.

## Goals of Producers

> **Sales Tax:** a tax that is added to the price of goods and services.

There are many different types of producers in the economy. We classify them as either **private** or **public**. Both types of producers have their reasons for producing a certain good or service. There could be many reasons why private sector producers are in business, for example:

- Make a profit
- Be their own boss
- Provide a good or service that they think should be available for purchase
- The social status that comes from having their own business.

The main goal of private sector producers is usually 'commercial', that is, to make a profit. On the contrary, there may be some private sector businesses that are motivated by the fact that they can see a need in the community and want to satisfy that need. So their goal or aim is to satisfy a need (and cover their expenses) and ***not*** to make a profit. These businesses are called **'Non- Profit or Voluntary organizations'**

Public sector producers or businesses owned by the government also provide goods or services. Their goals or reasons for producing certain goods or services are very different from those of private producers. The goals of public sector producers are usually non-commercial. The characteristics are:

- Providing a good or service which private businesses would not provide because they would not make a profit.
- Providing a good or service which is very much needed, but would not be available if it were not provided by the government.
- It is more efficient for the government to provide that good or service.
- The goods and services may benefit individuals, but be of even greater benefit to the whole society, such as education and health care.
- The value of the goods or services is greater than the individual consumer could afford.
- It wants to promote economic equity/fairness/justice—making certain goods and services available for all. Public goods and services, sometimes called collective goods and services, benefit **many** but would not be available to everyone if individuals/private producers had to provide them.

### How Does the Government Pay For the Goods and Services It Provides?

Taxes and fees pay for the production of public goods and services. The government collects taxes from people and businesses in the community to be able to pay for public goods and services.

**Income Tax:** a tax paid on the money that a person or business receives as income.

**Taxes** are money paid by people to the government, for example, income tax and sales tax. The government uses this money to pay for goods and services it provides. Sometimes, these goods and services are also paid by **fee,** such as highway tolls (fee charged to travel on the highway) and entrance fees to public parks.

## SUMMARY

Goods and services are produced by using productive resources that are called Factors of Production. Factors of production are Land, Labour, Capital, and Entrepreneur. Land earns rent, Labour earns wages, Capital earns interest and Entrepreneur earns profit. Within an economy, producers and consumers rely on each other. This is called 'Interdependence'. There can also be interdependence among different producers. Specialization occurs when people concentrate their production on a few kinds of goods or services. Specialization results in increased interdependence. That is, the more people specialize, the more they depend on one another. Producers have different reasons why they produce a certain good or service. The main goal of private sector producers is usually 'commercial' i.e. to make a profit. The goals of public sector producers are usually 'non-commercial'. Voluntary organizations, sometimes called Non- Profit organizations, aim to satisfy a need (and cover their expenses) and not make a profit..

# END OF CHAPTER EXERCISE

## A. Check Your Knowledge and Understanding

### 1. Fill in the Blanks

i. A tax paid on the money that a person or business receives as income is known as ______________ tax.

ii. A tax that is added to the price of goods and services is known as ______________tax.

iii. Productive resources in Economics are known as Factors of ______.

iv. A person who comes up with new ideas about what and how to produce, makes business decisions and bears the risks that arise from these decisions is known as an _________________________.

**2. Make a Table** to interview three people who work to produce a good or service. Find out the number of hours they work each week, the training they received, the pay they get each month and the good things and bad things about their jobs. Draw a table like the one given below and summarize your interview findings under the given headings.

| Name of the Person | Good / Service produced | Number of hours they work each week | The training they received | Income they receive for their work | Good points about their job | Bad points about their job |
|---|---|---|---|---|---|---|
| | | | | | | |
| | | | | | | |
| | | | | | | |

### 3. Answer the Following Questions

i. Define (with two examples each):

(a) Interdependence (b) Specialization

(c) Land (d) Labour

(e) Capital (f) Entrepreneur

ii. List the different commercial goals of private sector producers. Could there be some non-commercial goals of some private sector producers? Explain.

iii. Why does government provide certain goods and services? If consumers want these goods and services, why won't private businesses provide them?

iv. How does the government pay for the goods and services it provides?

### B. Find Out More

1. Visit a shopkeeper in the neighborhood; ask him/her to show you a number of goods in the shop. Identify the name, price and sales tax on any ten goods.

### C. Cooperate With Others

1. In pairs draw the circular flow diagram and explain the interrelated roles of households and businesses in the economy.

## END OF UNIT EXERCISE

### A. Check Your Knowledge and Understanding

1. Organizing information, read the given list of public and private goods and services. Decide which ones are public and which ones are private and write it in front of each. Explain your answers based on the concepts of rivalry and excludability.

- A bag of potatoes ____________________
- A tyre change from a tyre shop ____________________
- A street light ____________________
- Road repairs ____________________
- Car ____________________
- Issuing postage stamps ____________________
- Police protection ____________________
- A book ____________________
- Polio vaccination ____________________
- A shirt ____________________

### B. Use your Inquiry/Investigation Skills

1. Make an inquiry to find out the names of five private businesses, five voluntary/ non-government organisations and five State-Owned Enterprises in Pakistan. Explain the difference between the purpose and main goal of each.

### C. Communicate With Others

1. Role play the following situations. First show the problem and then its solution.
   - A family does not send their children to school because they cannot pay the fees.
   - Children of a family are not vaccinated because they do not have the money to pay for it.

### D. Cooperate With Others

1. Role play a panel discussion among three types of producers—private sector, public sector and Non-Profit. Each of these producers discusses their reasons to produce certain goods and services in the economy.

### E. Be Creative

1. A fable is a short story in which animals talk and a lesson is learned. Write a fable that teaches how goods and services provided by government benefit a community.
2. Write a story in which you include as many examples of public goods and services and private goods and services as you can.

### F. Be Technologically Smart

1. Find three pictures people who are working to produce a good or service on the internet.
2. Type up a paragraph entitled, "What Good or Service I Want to Produce When I Grow Up."

### G. Take an Action for the Common Good

1. There must be many old people in your neighborhood. Think of a service you can provide one of them (play a game with him/her, buy something from the grocery store, read or tell them a story). Provide this service to them on a regular basis.

**Teacher's Note:** You may divide the class into groups and assign each group to work on one type of producer.